Business Horizons (2022) 65, 713—717

Available online at www.sciencedirect.com

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GUEST EDITORS' PERSPECTIVE

Managing in an era of falsity: Falsity from the metaverse to fake news to fake endorsement to synthetic influence to false agendas

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1. So fake, it's real!?

> "The path of truth has meadows of falsity." (Le chemin de la vérité A des prairies de fausseté.)
>
> — Charles de Leusse

> "Perception is more important than reality. If someone perceives something to be true, it is more important than if it is in fact true."
>
> — Ivanka Trump

As these quotes illustrate, there is a fine line between what is true and what is false that is often due to individual interpretations of reality. While advanced communication and information technologies have greatly advanced the ability of individuals and corporations to produce things with an aspect of falsity—the extent to which something is artificial or incorrect—falsity has been an important part of commerce and management for a long time.

Marketers and advertisers have been known to bend the truth when promoting their products and services. In response, consumers cope with these persuasion attempts by developing persuasion knowledge (Friestad & Wright, 1994) to detect and counter such tactics. Product developers innovate offerings by examining usage behaviors in order to reduce costs by removing extraneous features that bring little value to consumers (Britt & Nelson, 1976). This has resulted in falsity imbued into products such as wood veneers that have the appearance of solid wood but are not solid wood, fake fur that looks authentic but is really plastic, and California sushi rolls with "crab" that is typically a white fish, usually pollock. Yet, some products aid consumers' ability to create falsity; these include skin creams, cosmetics, Botox treatments, and hair color to appear younger and more energetic.

We are increasingly living in a society of falsehoods. News can be fake (Lee et al., 2020; Mills et al., 2019; Park et al., 2020). Brands can be fake (Reilly & Hynan, 2014). Influencer endorsements can be fake (Campbell & Grimm, 2019). And "facts" are often fake, or "alternative."

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https://doi.org/10.1016/j.bushor.2022.08.003
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Consumers cannot even trust their senses. For example, in the advertising domain, models are not only being retouched using digital tools (e.g., Photoshop) but also now wholly created or drastically manipulated using synthetic advertising methods such as deepfakes (Campbell et al., 2021; Kietzmann et al., 2020). Using such advanced tools, ads can easily be changed depending on a consumer's gender, ethnicity, preferences, or other metrics. While the management and marketing literature provide some insights into certain facets of falsity, there is a need for a more conceptual overview of how consumers, employees, or other stakeholders react when confronted with manifestations of falsity.

Falsity has many forms. In this special issue on managing in an era of falsity, contributors explore falsity in terms of synthetic customer experiences in the metaverse (Golf-Papez et al.), fake news echo-chambers (Berthon et al.), fake endorsement (Chaudhry; Mangiò & Di Domenico) and synthetic influence (Sands et al.), and fakeness in organizational management (Hannah et al.). Together, these articles develop substantial new understandings of how falsity is created and experienced, as well as how falsity can be managed to both create positive opportunities and mitigate negative consequences.

In what follows, we look across these new articles as well as the broader literature to construct a framework that illustrates how falsity or falsehoods impact audiences. We close with a future research agenda that suggests new avenues for potential impactful contributions.

2. Toward an understanding of falsity: A framework

As is illustrated, falsity permeates many aspects of commerce and management; yet, as a concept, it is less understood. We seek to provide a conceptual overview of falsity from two complementary perspectives: the sender of falsity (e.g., creator, social media influencer, marketer, manager, consumer) and the receiver of falsity (e.g., consumer, employee, stakeholder; see Figure 1).

A sender may have a variety of motivations to create or share falsity that evokes either positive or negative reactions from receivers leading to subsequent outcomes. Senders may seek to deceive receivers by creating or spreading non-factual information with the hope of changing or reinforcing receivers' affective, behavioral, and cognitive responses (Berthon et al., 2022; Park et al., 2020). Some falsity has the additional motive of harming either the receiver or the subject of the falsity (Park et al., 2020), as in the harm caused by fake reviews of competing restaurants or revenge porn using deepfakes. However, falsity does not always have to be negative and in fact may open avenues for innovation and creativity (Campbell et al., 2021; Golf-Papez et al., 2022; Sands et al., 2022), as in an ad with cartoon characters interacting with human actors. Motives may also be ideological as the sender may manufacture arguments or data that supports their own opinions (Berthon et al., 2022; Di Domenico,

Figure 1. A falsity framework

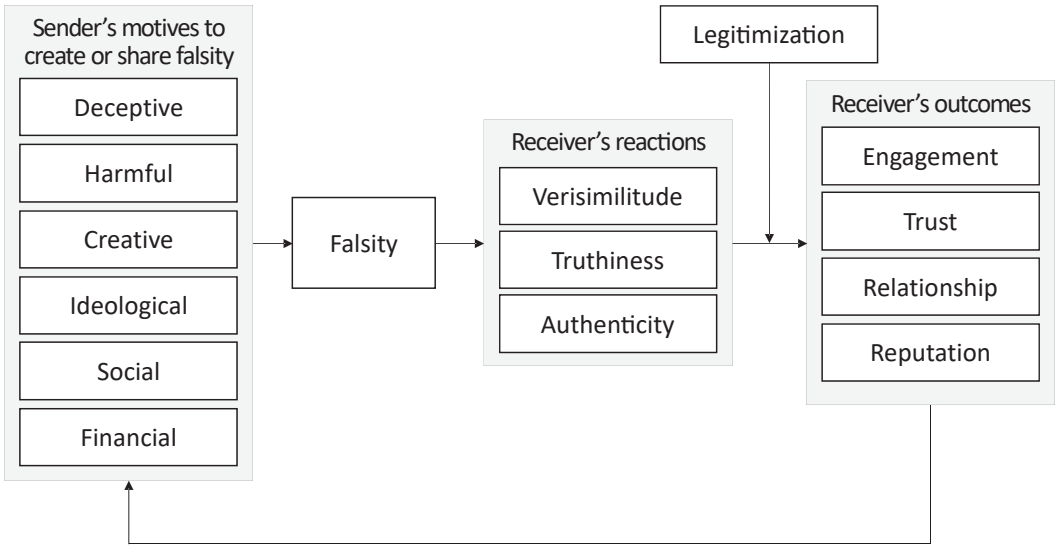


Table 1. A falsity research agenda

Research areas	Potential research questions
Fostering falsity	• To what extent can falsity in products (e.g., plant protein) and services aid the achievement of the UN sustainable development goals? How can firms and consumers be motivated to enact such changes? • How can counterfeit products support brand awareness and development in new markets instead of being substitutes? • What standards should be developed for ethical use of synthetic manipulation tools, such as deepfakes or GANs? • When can falsity be desirable from a brand management perspective? How can this be done transparently? • When can falsity result in ethical positive outcomes for brands?
Mitigating falsity	• How can managers identify threats caused by falsity? • What are techniques that managers can readily employ to detect organizational false information or non-information? • How can emerging technologies (e.g., blockchain) aid managers' or consumers' ability to authenticate content? • What policies or structures can digital platforms put in place to interrupt the falsity legitimization process? • How can marketers and news organizations best respond to false information and advertising? • What policy responses can be developed to discourage marketing practices (e.g., astroturfing reviews, greenwashing) based on falsity? • How can managers or platforms put in place mechanisms to curb employee or consumer incentives to share or create falsity? • How can consumers' persuasion knowledge be triggered to combat convincing falsity that has high verisimilitude? How can falsity literacy be developed?
Effects of falsity	• Why do some brands or social media influencers recover from falsity scandals and others do not? • To what extent are brand relationships impacted when consumers become aware of falsity in advertising? • To what extent does the source of falsity (e.g., social media influencer, a consumer, a brand) impact a receiver's attitudes and behavior? • What are the short- and long-term consequences of falsity-influenced consumers becoming aware of falsity in advertising? • To what extent would the truthiness of a message impact that message's perceived authenticity? • When consumer experiences are entirely synthetic (e.g., metaverse), how can perceived authenticity be maintained in the real world?

2022), as is the case with anti-vaccine books on Amazon. Senders' motives may also be social or financial in nature, as is the case with social media influencers that attempt to gain popularity and followers that may lead to financial gain (Campbell & Farrell, 2020; Chaudhry, 2022; Mangiò & Di Domenico, 2022).

When exposed to falsity, receivers may have several reactions driven from perceptions of *verisimilitude*: the degree to which something is perceived as real (Campbell et al., 2021); *truthiness*: the degree to which something is true based on how it feels (Berthon & Pitt, 2018); and *authenticity*: the degree to which something is accurate, connected, valid, legitimate, original, and proficient (Nunes et al., 2021). Perceptions of verisimilitude aid receivers' ability to detect perceptual falsity when the falsehood is apparent but alternatively can add to perceptions of authenticity if it is a convincing fake. A receiver's truthiness assessment is largely based on *confirmation bias*: interpret, favor, and recall information that validates preexisting beliefs (Berthon & Pitt, 2018) and trust in the sender, potentially leading to increased authenticity. If reactions to falsity are generally positive, receivers are more likely to engage with, trust, strengthen relationships with, and add to the reputation of the sender or their company/brand. These reactions' effect on outcomes may be strengthened in the presence of legitimization signals (Chaudhry, 2022; Di Domenico, 2022; Hannah et al., 2022;

Sands et al., 2022) such as expertise or ideological, social, or moral cues. The receiver's positive or negative reactions to falsity and the subsequent outcomes have influence over the sender's motivations for continuing to produce or share further falsity manifestations.

3. Developing research on managing falsity

While this special issue has developed insight regarding how to manage falsity, more research is required. Managers need to better understand the effects of falsity on consumers, employees, and other stakeholders so they can develop management strategies to mitigate their negative consequences and harness positive opportunities. Fake facts present a clear and present danger, yet is it unclear how managers can address employees or consumers who believe them (Berthon et al., 2022; Berthon & Pitt, 2018P. R. Berthon & Pitt, 2018; Di Domenico, 2022; McCarthy et al., 2020). In other cases, falsity may not have serious consequences and individuals may be willing to tolerate it if it goes unnoticed or provides benefits, as in alternative realities (de Regt et al., 2020; Golf-Papez et al., 2022; Scholz & Smith, 2016). However, in still other cases, authenticity and "realness" may be integral to jobs, products, services, or experiences and the value they provide (Cesareo & Stöttinger, 2015; Li, 2013; Meraviglia, 2018; Montecchi et al., 2019; Sands et al., 2022). As there are many potentially fruitful and important research avenues surrounding the topic of managing falsity, we present some potential research questions structured around our framework in Table 1.

4. Conclusion

Falsity presents new challenges and opportunities for business academics and practitioners, whatever shape it takes and wherever it is. We thank all the author teams who submitted their thought-leading work to this special issue of *Business Horizons*. We hope that these contributions will not only earn many citations as research outputs, but also deliver research outcomes (de Ruyter et al., 2022) that impact how managers and public policy makers handle falsity.

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